

## 25STCV38258 25STCV38258

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-06-25

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Case Number: 25STCV38258 Hearing Date: June 25, 2026 Dept: 734

The following tentative ruling is issued pursuant to Rule of Court 3.1308 at 3:27 PM on June 22, 2026.

Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1). The Court does not desire oral argument on the motion addressed herein.

As required by Rule 3.1308(a)(1), any party seeking oral argument must notify ALL OTHER PARTIES and the staff of Department 734 by 4:00 p.m. on June 24, 2026.

Notice to Department 734 should be sent by email to [email protected], with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

Per Rule of Court 3.1308, the Court may not entertain oral argument if notice of intention to appear is not given.

Plaintiff alleges that Defendant has refused to pay insurance policy benefits relating to property damage.

Defendant California Fair Plan Association demurs to the Complaint and moves to strike portions thereof.

### TENTATIVE RULING

Defendant California Fair Plan Association's demurrer to the Complaint is SUSTAINED with leave to amend as to the first and second causes of action.

Defendant's motion to strike is GRANTED with leave to amend as to the following: Page 4, Question 13: "Punitive damages for pain and suffering"; Page 5, BC-6: "Seeking punitive damages \$85,000"; Page 6, BC-6: "Seeking \$85,000 punitive damages"; Page 7, BC-6: "Asking 85,000 loss rental for 2 years at 2,500 per month. Punitive damages" Pages 16-19 (as to punitive damages only)

Defendant's motion to strike is DENIED as to the following: Page 7, BC-6: "Asking 85,000 loss rental for 2 years at 2,500 per month. Punitive damages" Pages 16-19 (as to loss of rental value only); Declaration MC-031

Plaintiff is given 30 days' leave to amend.

## ANALYSIS

### Demurrer

### Request For Judicial Notice

Defendant requests that the Court take judicial notice of The FAIR Plan's Dwelling Policy issued to Plaintiff Martha Castaneda-Guerra.

The request is DENIED. This is evidence extrinsic to the Complaint and it is not undisputed that this is the applicable policy which forms the basis of Plaintiff's Complaint.

"A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed (Code Civ. Proc., §§ 430.30, 430.70). The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action [citation]." (SKF Farms v. Superior Court (1984) 153 Cal. App. 3d 902, 905 [200 Cal. Rptr. 497].)

(Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

### Meet and Confer

The Declaration of Stacy R. Goldscher reflects that Plaintiff did not respond to meet and confer efforts. This satisfies the meet and confer requirement set forth in Civ. Proc. Code § 430.41.

### Discussion

Defendant California Fair Plan Association demurs to the Complaint as follows:

#### 1. First Cause of Action (Breach of Contract).[1]

Defendant argues that Plaintiff has failed to set out the terms of the contract verbatim or attach a copy of the written contract to the Complaint, nor has she pled the legal effect of its terms. Nor has Plaintiff alleged which terms were breached, the date of loss, the date of discovery of the loss, the date the FAIR Plan was provided notice of the claims or the language of the policy governing the coverage for the damage alleged.

Although older case law states that "[i]f the action is based on an alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written instrument must be attached and incorporated by reference." (Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal. App. 3d 452, 458-459), the modern view is to permit a plaintiff to plead the legal effect of a written contract rather than its precise language:

The Wise court stated, "where a written instrument is the foundation of a cause of action, it may be pleaded in haec verba by attaching a copy as an exhibit and incorporating it by proper reference." (Wise, at p. 59.) It is readily apparent that the Otworth court read more into that statement than is actually there. The Wise court was simply stating one available method of

pleading the contract—it was not specifying the exclusive means of pleading a contract. The correct rule is that “a plaintiff may plead the legal effect of the contract rather than its precise language.” (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 199 [126 Cal. Rptr. 2d 908, 57 P.3d 372].) Because it is apparent that the Otworth court misread Wise, and because, in any event, we are bound by our Supreme Court, we decline to follow Otworth. Accordingly, plaintiff’s failure either to attach or to set out verbatim the terms of the contract was not fatal to his breach of contract cause of action.

(Miles v. Deutsche Bank National Trust Co. (2015) 236 Cal.App.4th 394, 402.)

Here, however, Plaintiff does not even plead the legal effect of the relevant policy such that there was coverage for the loss which she claims. This ground for demurrer is persuasive. Plaintiff must attach the relevant policy or quote its language verbatim or carefully and completely according to legal effect.

Defendant also argues that this cause of action is barred by the one-year limitations period set forth in Insurance Code § 2071.

The ordinary statute of limitations for breach of a written contract is four years. (Code Civ. Proc., § 337.) Insurance claims for property damage, however, have a one-year limitation period. (Ins. Code, § 2071[2].) We explained: “The short statutory limitation period . . . is the result of long insistence by insurance companies that they have additional protection against fraudulent proofs, which they could not meet if claims could be sued upon within four years as in the case of actions on other written instruments. (Code Civ. Proc., § 337.)

(Vu v. Prudential Property & Casualty Ins. Co. (2001) 26 Cal. 4th 1142, 1148.)

Here, Plaintiff alleges that she was told that, as of June 25, 2025, her claim had been closed over two years ago. (Handwritten attachment to Complaint, Page 1.) As such, on the face of the Complaint, Plaintiff’s claims are time-barred by the one-year limitations period set forth in Ins. Code, § 2071.

As such, the demurrer to the first cause of action is SUSTAINED with leave to amend.

## 2. Second Cause of Action (Breach of Implied Covenant of Good Faith and Fair Dealing)[3].

Defendant argues that there was no breach of contract, so there can be no bad faith breach.

Defendant also argues that Plaintiff does not allege unreasonable conduct related to Defendant’s handling of the claim.

Defendant also argues that this cause of action is barred by the one-year limitations period set forth in Insurance Code § 2071.

To establish bad faith, a policy holder must demonstrate misconduct by the insurer more egregious than an incorrect denial of policy benefits. “The law implies in every contract, including insurance policies, a covenant of good faith and fair dealing.” (Citation omitted.) The obligation imposed on the insurer under the covenant “is not the requirement mandated by the terms of the policy itself . . . . It is the obligation . . . under which the insurer must act fairly and in good faith in discharging its contractual responsibilities.” (Citations omitted.) In the context of a bad faith claim, “an insurer’s denial of or delay in paying benefits gives rise to tort damages only if the insured shows the denial or delay was unreasonable.” (Citation omitted.)

Under this standard, “an insurer denying or delaying the payment of policy benefits due to the existence of a genuine dispute with its insured as to the existence of coverage liability or the amount of the insured’s coverage claim is not liable in bad faith[,] even though it might be liable for breach of contract.” (Citation omitted.) That is because “whe[n] there is a genuine issue as to the insurer’s liability under the policy for the claim asserted by the insured, there can be no bad faith liability imposed on the insurer for advancing its side of that dispute.” (Citation omitted.)

(Case v. State Farm Mut. Auto. Ins. Co., Inc. (2018) 30 Cal. App. 5th 397, 402.)

Moreover:

As a general rule, as the trial court recognized, there can be no breach of the implied covenant of good faith and fair dealing if no benefits are due under the policy: “[T]he covenant is based on the contractual relationship between the insured and the insurer. ... Absent that contractual right [to policy benefits], the implied covenant has nothing upon which to act as a supplement, and ‘should not be endowed with an existence independent of its contractual underpinnings.’ ” (Citations omitted.)

(Brehm v. 21st Century Ins. Co. (2008) 166 Cal.App.4th 1225, 1235.)

As discussed above, Plaintiff has not sufficiently pled that policy benefits were due. Moreover, this cause of action is time-barred by one-year limitations period set forth in Ins. Code, § 2071.

The demurrer to the second cause of action is SUSTAINED with leave to amend.

Motion To Strike

Meet and Confer

The Declaration of Stacy R. Goldscher reflects that Plaintiff did not respond to meet and confer efforts. This satisfies the meet and confer requirement set forth in Civ. Proc. Code § 435.5.

Discussion

Defendant California Fair Plan Association moves to strike the following portions of the Complaint. The Court will only address the following portions of the Complaint specified in the Notice of Motion, and will not rule upon other allegations such as attorney’s fees, which were not specified in the Notice of Motion.

1. Page 4, Question 13: “Punitive damages for pain and suffering”

GRANTED with leave to amend. For the reasons discussed above, the Complaint does not sufficiently pled the tort claim of bad faith breach.

2. Page 5, BC-6: “Seeking punitive damages \$85,000”

GRANTED with leave to amend. For the reasons discussed above, the Complaint does not sufficiently pled the tort claim of bad faith breach. Additionally, Civil Code § 3295(e) provides: “No claim for exemplary damages shall state an amount or

amounts," so to the extent that an amended complaint alleges a tort claim of bad faith breach, no amount of exemplary damages may be pled

3. Page 6, BC-6: "Seeking \$85,000 punitive damages"

GRANTED with leave to amend. For the reasons discussed above, the Complaint does not sufficiently pled the tort claim of bad faith breach. Additionally, Civil Code § 3295(e) provides: "No claim for exemplary damages shall state an amount or amounts," so to the extent that an amended complaint alleges a tort claim of bad faith breach, no amount of exemplary damages may be pled.

4. Page 7, BC-6: "Asking 85,000 loss rental for 2 years at 2,500 per month. Punitive damages" Pages 16-19:

GRANTED with leave to amend as to punitive damages. For the reasons discussed above, the Complaint does not sufficiently pled the tort claim of bad faith breach. Additionally, Civil Code § 3295(e) provides: "No claim for exemplary damages shall state an amount or amounts," so to the extent that an amended complaint alleges a tort claim of bad faith breach, no amount of exemplary damages may be pled.

DENIED as to loss of rental value. The motion does not specify a basis to strike this allegation.

5. Declaration MC-031

DENIED.

Because a Declaration is not essential to the allegations of the Complaint, this may simply be treated as allegations, which need not be sworn statements.

Plaintiff is given 30 days' leave to amend.

[1] The attachments at the end of the Complaint appear to assert a breach of written contract cause of action.

[2]

Suit

No suit or action on this policy for the recovery of any claim shall be sustainable in any court of law or equity unless all the requirements of this policy shall have been complied with, and unless commenced within 12 months next after inception of the loss. If the loss is related to a state of emergency, as defined in subdivision (b) of Section 8558 of the Government Code, the time limit to bring suit is extended to 24 months after inception of the loss.

(Ins. Code § 2071.)

[3] ¶ 10 of the Complaint alleges "bad faith, breach of duty, unreasonable failure to pay claim, and investigate claim." This all comes within a claim for breach of the implied covenant of good faith and fair dealing.